

**CITY OF
CHEYENNE, WYOMING**

**COMPENSATION AND
CLASSIFICATION STUDY**

FINAL REPORT

October 1, 2013

THE MERCER GROUP, INC.

COMPENSATION AND CLASSIFICATION STUDY

DRAFT FINAL REPORT

I. BACKGROUND

The Mercer Group, Inc. was retained by the City to conduct a Classification and Compensation Study.

The City was seeking the services of a human resources consultant to conduct a classification and compensation study to update the City's current pay structure to ensure that the City is competitive with the market.

II. METHODOLOGY

The Mercer Group, Inc., Inc. methodology for classification and compensation studies is a combination of specific internal and external data which places the salary schedule into parity with the market and each position into parity with all other positions. From this internal and external data pay levels are determined, positions are classified and placed into the salary schedule, and ongoing methods of maintaining the system are developed.

Detailed descriptions of the methodologies are described below.

A. Compensation/Market Survey Methodology

The Compensation/Market Survey is a data-collection process which ensures a fair and equitable comparison of the pay structure.

Usually, the core of this process is the comparison of the City's pay plan with the pay plans of comparable organizations. The City of Cheyenne's pay plan, being over 17 years old, was of no use as a comparison model. As such, a new pay plan for non-public safety employees was developed using predominately market data.

The primary objective of the market survey and analysis is to determine how the compensation levels for the City's job classes compare to that of similar public employers with whom the City must compete for employees.

The results of the market survey were used to construct a pay plan that will ensure the ability of the City to recruit and retain qualified employees and to provide an effective basis for managing salary costs.

Market Survey Employer Selection

The employers selected for the market survey should define as accurately as possible the “Labor Market” within which the City competes. Organizations were selected using the following criteria:

Geographic Proximity - Comparison organizations located within a reasonable commuting distance were selected. Selecting employers in relatively close geographic proximity ensures that the market will reflect the City’s cost of living, growth rate and other demographic characteristics.

Nature of Services Provided – Organizations were selected which provide a similar range of services, these organizations are most likely to compete with each other for employees, likely to have comparable jobs, and are likely to have similar organizational structures.

Each of these factors was taken into consideration in the identification of an appropriate labor market for the City. City management assisted in the identification of market organizations.

The organizations from which survey data was obtained are:

- LARAMIE COUNTY, WYOMING
- LARIMER COUNTY, COLORADO
- WELD COUNTY, COLORADO
- LOVELAND, COLORADO
- GREELEY, COLORADO
- CASPER, WYOMING
- LARAMIE, WYOMING
- SHERIDAN, WYOMING
- WYOMING STATE GOVERNMENT
- SCOTTS BLUFF, NEBRASKA
- LONGMONT, COLORADO

Of the thirteen organizations identified to be surveyed, all but two completed surveys. The only organizations who declined to complete a Market Survey were Fort Collins, Colorado, and the federal government.

Survey Benchmark Position Selection

The second step in preparing for the market survey is the identification and selection of Benchmark positions. The Benchmark positions are positions contained in the City’s classification system for which adequate market matches can be found. Benchmark

positions provide a reference point for developing salary recommendations for all non-Benchmark positions.

Benchmark positions are those which meet the following criteria:

- o Well-defined positions presumed to exist within the local government and private organizations which are to be surveyed;
- o Encompass a variety of skill levels within the organization;
- o Reasonably well known and understood positions which are clearly and concisely described;
- o Represent a variety of pay levels within the organization.

The Benchmark positions selected for the comparison survey are listed below:

- ACCOUNTANT
- ACCOUNTING TECHNICIAN
- ATTORNEY
- CHIEF BUILDING INSPECTOR
- CONSTRUCTION INSPECTOR I
- COURT BAILIFF
- CUSTODIAN (ENTRY LEVEL)
- CUSTODIAN, SENIOR
- DEPUTY COURT CLERK
- ENGINEER
- ENGINEERING TECHNICIAN
- EQUIPMENT OPERATOR (ENTRY LEVEL)
- EXECUTIVE SECRETARY
- FIRE CHIEF
- FIRE SAFETY TECHNICIAN
- FLEET MAINTENANCE DIRECTOR
- FOREMAN
- FOREMAN, SENIOR

- GIS COORDINATOR
- HUMAN RESOURCES ASST. DIRECTOR
- HUMAN RESOURCES SPECIALIST
- INFORMATION TECHNOLOGY DIRECTOR
- MECHANIC, SENIOR
- NETWORK ADMINISTRATOR
- OFFICE MANAGER
- PLANNER (ENTRY LEVEL)
- PLANNER, SENIOR
- POLICE CHIEF
- POLICE OFFICER
- PUBLIC WORKS DIRECTOR
- PURCHASING DIRECTOR
- RECORDS SUPERVISOR
- RECREATION PROGRAM COORDINATOR
- SERGEANT
- TRAFFIC SIGNAL TECHNICIAN
- TRANSIT BUS DRIVER
- TRANSIT DISPATCHER

It is not possible to conduct an adequate market survey for all positions within the City. No organization is structured the same way the City is structured. Therefore, the City will have unique positions that cannot be found in the market; tying classifications only to market does not take into account the priorities of the City. By combining the market survey data with the point factor system described below, both external equity and internal salary relationships are reflected in the resulting salary setting process.

B. Classification Methodology

The classification process began with orientation. Each position Department Director had an individual orientation session to review their department structure, discuss areas of concern, and review the positions in their organization.

The position description questionnaires, discussions with Department Directors, and insight from human resources were used to ensure a thorough understanding of each position. That understanding is critical, as it becomes the basis for the rating of each position using the Factor Evaluation System.

The Mercer Group, Inc. Factor Evaluation System (FES) is used to provide a numerical rating for all positions within the City that were included in the study.

Factor evaluation systems provide a method of classifying positions based on the work performed. The systems generally are easy to understand and apply and can be used to classify and re-classify both permanent and part-time positions.

In developing the factor system used by the Mercer Group, Inc., Inc. the following principles are applied:

- Important elements of each job should be measured by consistent factors.
- The factors must be explainable and clearly defined.
- Factors should relate to observable and measurable aspects of the job.
- Factors should relate to the business of the organization, i.e. local government.
- The number of factors should be limited for administrative ease but should reflect all aspects of the positions rated.

The factors used in the Mercer FES are:

Factor 1 - Knowledge Required:

Assigns points based on skills, knowledge, and educational level required by the job.

Factor 2 - Supervisory Controls:

Points are assigned based on the nature and extent of direct supervision required over the position.

Factor 3 - Supervision Exercised:

Measures the amount of supervision or management exercised by the position.

Factor 4 - Guidelines:

Measures the nature of existing guidelines and the judgment needed to apply them.

Factor 5 - Complexity:

Measures the nature, number, variety and intricacy of tasks, steps or processes in the work performed by the position.

Factor 6 - Scope and Effect:

Measures the nature of the work and its effect both inside and outside the organization.

Factor 7 - Personal Contacts:

Measures contacts with co-workers, the public and others required in performing the duties of the position.

Factor 8 - Purpose of Contacts:

Measures the level of informational exchange in the personal contacts identified in Factor 7.

Factor 9 - Physical Demands:

Includes physical characteristics and abilities needed as well as the level of exertion required in performing the duties of the position.

Factor 10 - Work Environment:

Considers the risks and discomforts in the physical surroundings.

Every position included in the study for the City was rated using the system. Those ratings were then used to determine where each position fit in the salary schedule. This process provided for internal equity.

III. FINDINGS

Through analysis and consultation with management, an extensive list of comparable organizations was chosen to be surveyed regarding the minimum, midpoint, and maximum salary offered for the Benchmark positions. The Mercer Group, Inc. was able to obtain information from 11 comparable organizations. Using this survey data, The Mercer Group, Inc. identified an overall pay scale against which the City is competing for all employees. **(No individual employee's pay is determined by this survey data, nor is it accurate to compare an employee's actual salary with individual or aggregate salary information obtained for a particular Benchmark position.)** As the market for sworn law enforcement positions was markedly different from the market for general employees two pay plans were developed.

The new pay ranges in both plans place the City at the approximate average of the market overall; i.e. half of the organizations surveyed pay more on average while the other half of the organizations pay less on average.

RECOMMENDED GENERAL PAY PLAN

Grade	Minimum	Midpoint	Maximum
66	\$24,519.40	\$31,059.95	\$37,600.50
67	\$25,990.57	\$32,923.55	\$39,856.53
68	\$27,550.00	\$34,898.97	\$42,247.93
69	\$29,203.00	\$36,992.90	\$44,782.80
70	\$30,955.18	\$39,212.48	\$47,469.77
71	\$32,812.49	\$41,565.22	\$50,317.95
72	\$34,781.24	\$44,059.14	\$53,337.03
73	\$36,868.11	\$46,702.68	\$56,537.25
74	\$39,080.20	\$49,504.85	\$59,929.49
75	\$41,425.01	\$52,475.13	\$63,525.25
76	\$43,910.51	\$55,623.64	\$67,336.77
77	\$46,545.14	\$58,961.06	\$71,376.97
78	\$49,337.85	\$62,498.72	\$75,659.59
79	\$52,298.12	\$66,248.65	\$80,199.17
80	\$55,436.01	\$70,223.57	\$85,011.12
81	\$58,762.17	\$74,436.98	\$90,111.79
82	\$62,287.90	\$78,903.20	\$95,518.49
83	\$66,025.17	\$83,637.39	\$101,249.60
84	\$69,986.68	\$88,655.63	\$107,324.57
85	\$74,185.88	\$93,974.97	\$113,764.05
86	\$78,637.03	\$99,613.46	\$120,589.89
87	\$83,355.25	\$105,590.27	\$127,825.28

RECOMMENDED POLICE PAY PLAN

Grade	Minimum	Midpoint	Maximum
P23	\$47,917.44	\$55,575.10	\$63,232.76
P27	\$64,883.68	\$72,398.18	\$79,912.68
P28	\$69,649.43	\$80,780.07	\$91,910.71
P30	\$76,754.90	\$89,021.07	\$101,287.23

Once all positions were analyzed and factored and the pay plans were developed, the positions were grouped into pay grades as indicated by total factor scores and market analysis.

GENERAL PAY PLAN
RECOMMENDED POSITION TITLES BY PAY GRADE

PAY GRADE 66

\$24,519.40 TO \$37,600.50

**CUSTODIAN I
DRIVER**

PAY GRADE 67

\$25,990.57 TO \$39,856.53

**ADMINISTRATIVE SUPPORT ASSISTANT
CUSTODIAN II
IT DUPLICATION SPECIALIST
MUNICIPAL COURT TECHNICIAN
PERMIT AND LICENSING SPECIALIST
POLICE RECORDS TECHNICIAN
PURCHASING TECHNICIAN**

PAY GRADE 68

\$27,550.00 TO \$42,247.93

**ARBORIST
CUSTODIAN III
SENIOR DRIVER
EQUIPMENT OPERATOR
FINGERPRINT TECHNICIAN
IT DATA TECHNICIAN
MAINTENANCE TECHNICIAN
PARKING PATROL TECHNICIAN
SENIOR DRIVER
SENIOR POLICE RECORDS TECHNICIAN
TRANSFER STATION ATTENDANT
TRANSIT DISPATCHER**

PAY GRADE 69

\$29,203.00 TO \$44,782.80

**BUSINESS LICENSING AND RECEIPTS SPECIALIST
DEPUTY COURT CLERK
HEAVY EQUIPMENT OPERATOR
SIGN TECHNICIAN
TERMINAL AGENCY COORDINATOR
TRANSFER STATION COORDINATOR
TRANSIT BUS DRIVER
WARRANTS AND SCHEDULING TECHNICIAN**

PAY GRADE 70

\$30,955.18 TO \$47,469.77

**BAILIFF
CITY RECORDS TECHNICIAN
CODE ENFORCEMENT OFFICER
COMBINATION INSPECTOR
CONCRETE FINISHER
HUMAN RESOURCES SPECIALIST
LUBRICATION SERVICE TECHNICIAN
PAINT AND BODY WORK TECHNICIAN
POLICE PERSONNEL TECHNICIAN
PROGRAMS ASSISTANT
SPRINKLER TECHNICIAN
SENIOR DEPUTY COURT CLERK
SENIOR MAINTENANCE TECHNICIAN
TRANSIT OPERATIONS ASSISTANT
TURF EQUIPMENT MECHANIC
WELDER**

PAY GRADE 71

\$32,812.49 TO \$50,317.95

**ACCOUNTING TECHNICIAN
ASSISTANT BOX OFFICE MANAGER
CONSTRUCTION INSPECTOR
LEAD DISPATCHER - TRANSIT
MASTER DRIVER
OPERATIONS SPECIALIST
SENIOR HEAVY EQUIPMENT OPERATOR**

PAY GRADE 72

\$34,781.24 TO \$53,337.03

**ADMINISTRATIVE ASSISTANT
ASSOCIATE PLANNER
CIVIL ENGINEERING TECHNICIAN I
ENGINEERING TECHNICIAN
GRANTS COORDINATOR
GYMNASTICS SPECIALIST
LEGAL ASSISTANT
OPERATIONS COORDINATOR
PAYROLL COORDINATOR
VICTIM ASSISTANCE ADVOCATE**

PAY GRADE 73

\$36,868.11 TO \$56,537.25

**AQUATICS PROGRAMMER
CHILD CARE SPECIALIST
FLEET PARTS MANAGER
PLANNING TECHNICIAN
PROPERTY AND EVIDENCE MANAGER
SIGNAL TECHNICIAN
SENIOR ARBORIST
SENIOR COMBINATION INSPECTOR
SENIOR SPRINKLER TECHNICIAN**

PAY GRADE 74

\$39,080.20 TO \$59,929.49

**ASSISTANT DIRECTOR OF PURCHASING
ENVIRONMENTAL TECHNICIAN
EXECUTIVE ASSISTANT
MASTER ARBORIST
MASTER EQUIPMENT OPERATOR
MASTER SIGNAL TECHNICIAN
MECHANIC
PERMIT AND LICENSING MANAGER
PLANNER I
PUBLIC WORKS OPERATIONS MANAGER
RANCH SUPERVISOR
SPECIAL FRIENDS PROGRAM DIRECTOR
SPECIAL PROJECTS TECHNICIAN
SENIOR CONSTRUCTION INSPECTOR
SUPERVISING CONCRETE FINISHER
SUPERVISOR
TURF EQUIPMENT MECHANIC FOREMAN**

PAY GRADE 75

\$41,425.01 TO \$63,525.25

**ICE AND EVENTS CENTER SUPERVISOR
ASSISTANT COURT SERVICES COORDINATOR
BOTANIC GARDEN DEVELOPMENT COORDINATOR
COMMUNITY FORESTER
COUNSELOR
IRRIGATION MANAGER
IT NETWORK SYSTEMS SPECIALIST
RECREATION SPECIALIST
RECREATION SPORTS SPECIALIST
SENIOR SUPERVISOR
TRANSIT OPERATIONS MANAGER**

PAY GRADE 76

\$43,910.51 TO \$67,336.77

**ACCOUNTANT
BOX OFFICE MANAGER
CADASTRAL RESEARCH SPECIALIST
CASE MANAGER
GIS COORDINATOR
HEAVY EQUIPMENT OPERATOR
PLANNER II
POLICE RECORDS SUPERVISOR
POLICE TRAINING COORDINATOR
SENIOR ENGINEERING TECHNICIAN**

PAY GRADE 77

\$46,545.14 TO \$71,376.97

**ASSISTANT DIRECTOR OF FLEET MAINTENANCE
BOTANIC GARDEN EDUCATION ADMINISTRATOR
CLERK OF COURT
COMMERCIAL BUILDING INSPECTOR
COMMERCIAL PLUMBING INSPECTOR
ENGINEERING GIS COORDINATOR
EXECUTIVE PERSONAL ASSISTANT
FIRE PLANS EXAMINER
FOREMAN
PLANNING MANAGER PARKS AND RECREATION
POLICE SPECIAL PROJECTS COORDINATOR
SAFETY OFFICER
STAFF ENGINEER
TRAFFIC SIGNAL SUPERVISOR
TRAILS PLANNER**

PAY GRADE 78

\$49,337.85 TO \$75,659.59

**AQUATICS COORDINATOR
ASSISTANT CHIEF BUILDING OFFICIAL
ASSISTANT DIRECTOR OF CEMETERIES
ASSISTANT DIRECTOR OF URBAN FORESTRY
ASSISTANT PARKS DIRECTOR
HEAD OF HORTICULTURE
ICE AND EVENTS CENTER COORDINATOR
MANAGER OF COMMUNITY DEVELOPMENT
POLICE NETWORK ADMINISTRATOR
RECREATION PROGRAM COORDINATOR
SENIOR PLANNER
SENIOR FOREMAN**

PAY GRADE 79

\$52,298.12 TO \$80,199.17

**ASSISTANT DEVELOPMENT DIRECTOR
ASSISTANT DIRECTOR BOTANIC GARDEN
CHILD CARE COORDINATOR
CIVIC CENTER TECHNICAL DIRECTOR
COURT SERVICES COORDINATOR
DIRECTOR OF TRAFFIC OPERATIONS
POLICE NETWORK ADMINISTRATOR, SUPERVISORY
TRANSIT ASSISTANT DIRECTOR
VICTIM ASSISTANCE COORDINATOR**

PAY GRADE 80

\$55,436.01 TO \$85,011.12

**COMMERCIAL ELECTRICAL INSPECTOR
COMMERCIAL MECHANICAL INSPECTOR
CONSTRUCTION MANAGER
DIRECTOR OF PURCHASING
PROJECTS INFORMATION OFFICER**

PAY GRADE 81

\$58,762.17 TO \$90,111.79

**CITY SURVEYOR
DIRECTOR OF WEED AND PEST CONTROL**

PAY GRADE 82

\$62,287.90 TO \$95,518.49

**ASSISTANT DIRECTOR OF HUMAN RESOURCES
DEPUTY CITY TREASURER
ASSISTANT DIRECTOR OF INFORMATION TECHNOLOGY
DIRECTOR OF BOTANIC GARDEN
DIRECTOR OF FACILITIES MAINTENANCE
DIRECTOR OF GOLF COURSES
DIRECTOR OF GROUNDS AND FACILITIES
DIRECTOR OF LEISURE SERVICES
DIRECTOR OF URBAN FORESTRY**

PAY GRADE 83

\$66,025.17 TO \$101,249.60

**ASSISTANT CITY ATTORNEY
ASSISTANT DIRECTOR OF PARKS AND RECREATION
ASSISTANT PUBLIC WORKS DIRECTOR
DEPUTY CITY CLERK
DIRECTOR OF FLEET MAINTENANCE
DIRECTOR OF RISK MANAGEMENT
DIRECTOR OF SPECIAL PROJECTS
DIRECTOR OF STREETS AND ALLEYS
LANDFILL MANAGER
SOLID WASTE MANAGER
STORMWATER ENGINEER
TRANSIT DIRECTOR**

PAY GRADE 84

\$69,986.68 TO 107,324.57

**ASSISTANT DIRECTOR OF YOUTH ALTERNATIVES
DEPUTY CITY ATTORNEY
JUDGE
POLICE IT SERVICES MANAGER
TRAFFIC ENGINEER**

PAY GRADE 85

\$74,185.88 TO \$113,764.05

**CHIEF BUILDING OFFICIAL
DIRECTOR OF ZONING AND DEVELOPMENT
MPO DIRECTOR
PUBLIC WORKS ENGINEER**

PAY GRADE 86

\$78,637.03 TO \$120,589.89

**ASSISTANT CITY ENGINEER
DIRECTOR OF HUMAN RESOURCES
DIRECTOR OF INFORMATION TECHNOLOGY
EXECUTIVE DIRECTOR OF THE CIVIC CENTER**

PAY GRADE 87

\$83,355.25 TO \$127,825.28

**CITY ATTORNEY
CITY CLERK
CITY ENGINEER
CITY TREASURER
DIRECTOR OF PARKS AND RECREATION
DIRECTOR OF YOUTH ALTERNATIVES
FIRE CHIEF**

PAY GRADE 87, CONTINUED

\$83,355.25 TO \$127,825.28

**PLANNING SERVICES DIRECTOR
POLICE CHIEF
PUBLIC WORKS DIRECTOR
SENIOR JUDGE**

**POLICE PAY PLAN
RECOMMENDED POSITION TITLES BY PAY GRADE**

PAY GRADE P23

\$47,917.44 TO \$63,232.76

POLICE OFFICER

PAY GRADE P27

\$64,883.68 TO \$79,912.68

POLICE SERGEANT

PAY GRADE P28

\$69,649.43 TO \$91,910.71

POLICE LIEUTENANT

PAY GRADE P30

\$76,754.90 TO \$101,287.23

POLICE CAPTAIN

IV. IMPLEMENTATION COSTS

Increasing Employee Salaries to the Minimum of Their New Range

The priority implementation cost will be incurred in bringing any employee whose current salary is below the minimum of their new pay grade up to that minimum.

The projected cost to bring employees covered by the General Pay Plan up to their new minimum is \$657,294.61.

The projected cost to bring employees covered by the Police Pay Plan up to their new minimum is \$10,771.90.

V. SPECIAL PROVISIONS AND RECOMMENDATIONS

Following extensive discussions, The Mercer Group, Inc., offers the following provisions and recommendations:

A. Hiring Offer

We recommend allowing hiring for applicants, with qualifications exceeding the stated minimum for the position, up to the Midpoint of the salary grade with a recommendation from the affected Department Director that is endorsed by the Human Resources Director and approved by the Mayor.

B. Annual Market Adjustment

We recommend the City make annual adjustments to the Pay Plan based on annual analysis of the Consumer Price Index for Southeast Wyoming. Upon receipt of this data, the Governing Body would vote annually on the applicability and the fiscal ability of the City to apply a market adjustment to the salary structure.

C. Employee Promotions or Transfers

We recommend that if an employee is promoted to a position in a higher classification (grade), the employee will receive the minimum rate of pay for the new pay grade or a salary increase of 6%, whichever is greater.

D. Reclassification

When a new position is created or there is a need for a reclassification of an existing position, a Position Questionnaire (as used in the Study) should be completed. The Position questionnaire should then be evaluated using the Factor Evaluation System to determine the Pay Grade, thus continuing to maintain the internal equity of positions.

E. Maintenance of the Compensation and Classification System

In order to effectively maintain the system as implemented we recommend the following time table:

Re-survey the market and adjust the pay plans accordingly every two to three years.

Complete a full compensation and classification study every five to seven years.